

Done



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS  
General Certificate of Education Advanced Level

**ECONOMICS**

Paper 3 Multiple Choice (Supplement)

**9708/32**

**May/June 2010**

**1 hour**

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.  
Any rough working should be done in this booklet.

Zarak Mushtaq

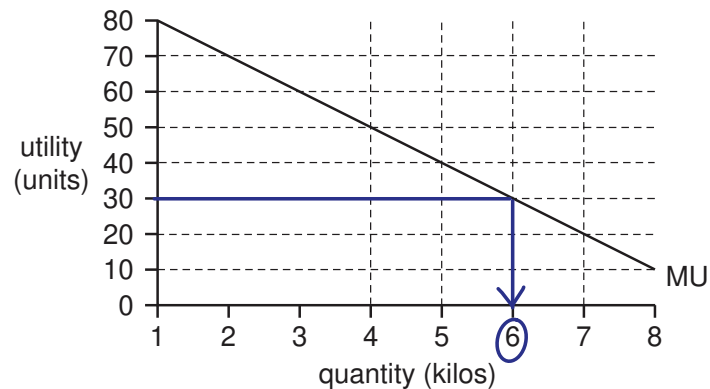
Solved with reasons

Send it !

This document consists of **12** printed pages.



- 1 The diagram shows the marginal utility (MU) that an individual derives from a good at different levels of consumption.



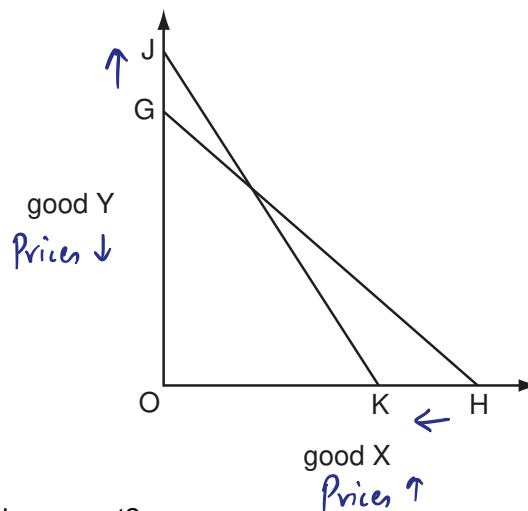
$\$1 : 3 \text{ units}$   
 $\$10 : x$   
 $x = 30 \text{ units}$

The utility he derives from the last \$ he spends on every good is 3 units.

Assuming the marginal utility of money is constant, which quantity will he purchase if the price of the good is \$10?

- A 4 kilos      B 5 kilos      ☒ C 6 kilos      D 7 kilos

- 2 In the diagram a consumer's budget line shifts from GH to JK.



Which statement **must** be correct?

- ☒ A The price of good X has increased relative to the price of good Y. (Income and substitution effect)  
 B The prices of both goods have fallen.  
 C There has been an increase in the consumer's real income. (shift)  
 D There has been an increase in the consumer's money income.

3 What could cause the demand curve for labour to shift to the left? *Demand ↓*

A a decrease in immigration

☒ B a decrease in labour productivity *less efficient*

C a fall in real wages

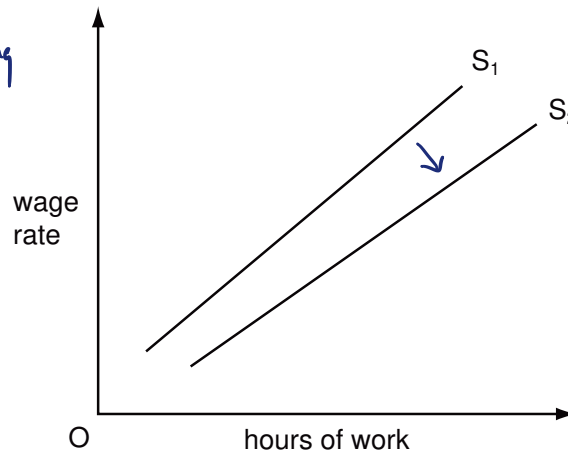
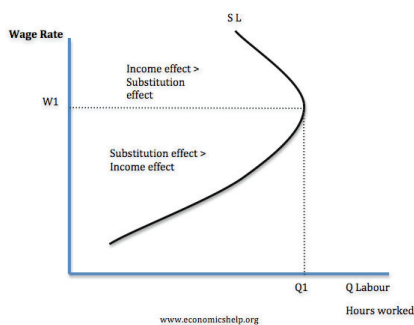
D a rise in the money wage rate

$$\text{Labour productivity} = \frac{\text{Total output}}{\text{no. of workers}}$$

4 In the diagram  $S_1$  is an individual worker's supply of labour curve.



*connect to Backward Bending Supply curve*



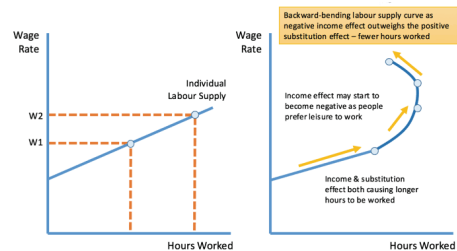
What could cause the curve to shift from  $S_1$  to  $S_2$ ?

A a decrease in the hourly wage rate

B a decrease in work satisfaction

C a decrease in the opportunity cost of leisure

☒ D a decreased preference for leisure *(work or leisure) (opportunity cost)*



5 A firm's workers join a trade union which negotiates an increase in the workers' wage rate.

The increase in the wage rate results in an increase in the number employed by the firm.

What could explain this?

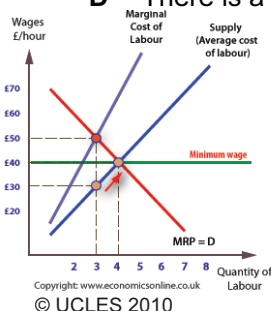
A The demand for the firm's product is price-elastic. *Elastic demand for labour*

☒ B The firm is a monopsonist within its local labour market. *(Bilateral monopoly)*

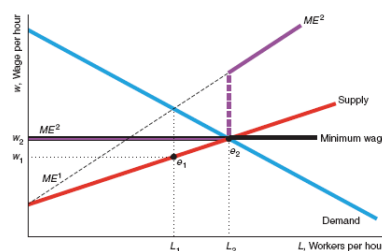
C The firm operates in a perfectly competitive labour market. *(wage taker)*

D There is a high degree of substitutability between capital and labour.

*↓  
Monopsonist union*



*Elastic demand for labour*



- 6 The schedule shows the short-run marginal cost of producing good X.

|                    |            |           |           |                           |           |           |
|--------------------|------------|-----------|-----------|---------------------------|-----------|-----------|
|                    | <i>ATC</i> | <i>60</i> | <i>45</i> | <i>40</i>                 | <i>45</i> | <i>60</i> |
| units of X         | <i>0</i>   | 1         | 2         | <i>3</i><br><i>Lowest</i> | 4         | 5         |
| marginal cost (\$) |            | 40        | 30        | 30                        | 60        | 120       |

Given that the total fixed cost is \$20, what level of output minimises average total cost?  $ATC = \frac{TC}{Q}$

- A 2 units    ☒ B 3 units    C 4 units    D 5 units

- 7 Which is an example of an external diseconomy?

- A managerial difficulties in co-ordinating activities in a large organisation  
 B Internal difficulties in motivating workers in a large organisation  
 C higher transport costs as a firm's market expands  
☒ D increased traffic congestion as industries expand

### External diseconomies

- Breakdown of relationships with suppliers and buyers: When the firm is small, there is often a direct relationship between owner managers and customers or suppliers. As the firm grows, these relationships are hard to maintain as the owner manager finds his time is taken up with administration or problem solving.
- Competition for labour: More firms means increased demand for labour, making the best workers harder to recruit and keep.
- Increasing employment costs: More firms means increased demand pushing up the price of labour-wages
- Traffic congestion: The firm grows, suppliers move in, the area becomes an industrial centre, the roads are clogged with vehicles making deliveries late.

- 8 The diagram shows a firm's demand curve and its marginal revenue curve.

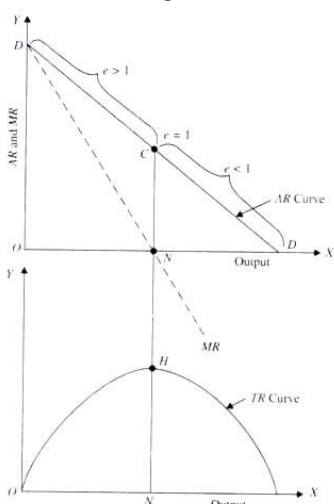
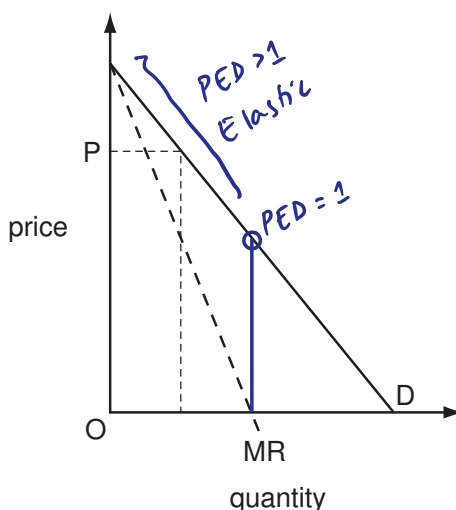
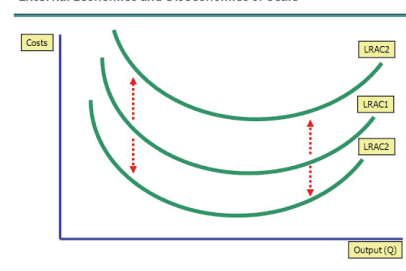


Fig. 21.8. Relationship between AR, MR, TR and Price Elasticity



External Economies and Diseconomies of Scale



Economies and Diseconomies of Scale

Along the demand curve, PED is different at each price level.

What is the approximate price elasticity of demand at price OP?

- A 0.25    B 0.5    C 1    ☒ D 2  
*Inelastic*    *Inelastic*    *Unitary*    *Elastic*

- 9 In the absence of regulation, why is it likely that the market for air travel on the Singapore-Sydney route would be highly contestable?

- ☒ A An airline entering the market would lose little if it later exited that market.  
 B The airline industry's capacity to expand its operations in the short-run is limited.  
 C The demand for air travel on the Singapore-Sydney route is price-elastic.  
 D There is no effective substitute for air travel for journeys between Singapore and Sydney.

A monopoly being a monopoly can't act as a monopoly because of threat of competition as the cost of entry and exit are zero.

$$MC = MR$$

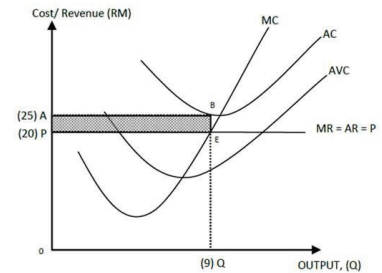
10 The table shows information about a profit-maximising firm.

$$TR = \$29750$$

$$FC = \$10000$$

$$VC = \$28900$$

|                         |              |
|-------------------------|--------------|
| output                  | 17 000 units |
| price per unit          | \$1.75       |
| fixed costs             | \$10 000     |
| variable costs per unit | \$1.70       |



What should the firm do?

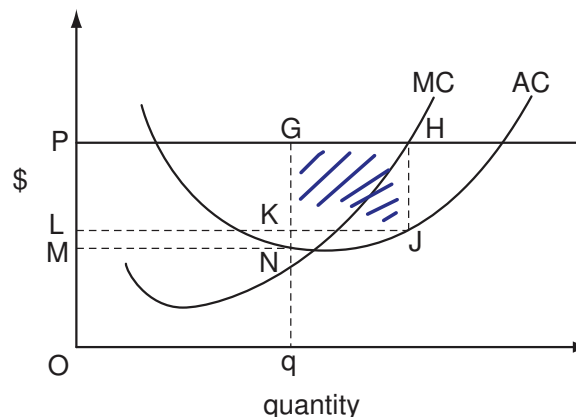
- A close down immediately because it is not covering its fixed costs *no*
- B close down immediately because it is not covering its average costs *no*
- C close down immediately because it is not covering its total costs *no*
- ☒ D continue production in the short run because it is covering its variable costs *(subnormal profits)*

11 The diagram shows a firm's marginal and average cost curves.

*Cartel*

The firm enters a collusive agreement with other firms in the industry. It is agreed that each firm will charge a common price, OP, and will restrict the level of its output to a production quota set by the industry cartel.

The firm is allocated a production quota,  $Oq$ .



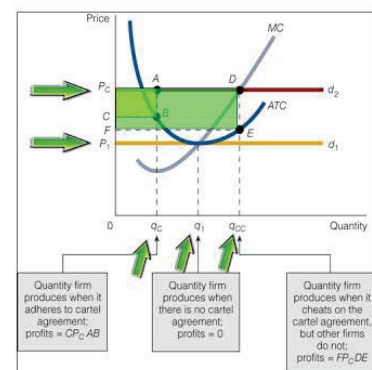
The firm decides to cheat in order to maximise its profits.

What is its short-run increase in profits?

### The Benefits of Cheating Cartel Agreement

- A PGKL
- B PHJL
- ☒ C PHJL minus PGNM
- D PGKL minus LKNM

- The situation for a representative firm of a cartel: in long-run competitive equilibrium, it produces  $q_1$  and charges  $P_1$ , earning zero economic profits.
- As a consequence of the cartel agreement, it reduces output to  $q_{CC}$  and charges  $P_C$ .
- Its profits are the area  $CP_CAB$ .
- If it cheats on the cartel agreement and others do not, the firm will increase output to  $q_{CC}$  and reap profits of  $FP_CDE$ .



- 12 A competitive market becomes a monopoly. *High prices, low Qty, TR ↑, Abnormal profits, C-S ↓*

What is likely to happen?

- Yes* *No*
- A Consumer surplus will be reduced by the amount of the deadweight loss.
- Yes* *No*
- B Producer surplus will be reduced by the amount of the deadweight loss.
- C The loss in consumer surplus will be balanced by the increase in producer surplus. *No*
- ☒ D There will be a transfer of surplus from consumer to producer. *Yes!*

- 13 A government requires all its young citizens to undertake community service for a period of 6 months. The wages paid to those on the community service are below what they would otherwise have earned.

What effect will this have on recorded GDP and on national welfare?

*less income*

|                                       | effect on GDP | effect on national welfare |
|---------------------------------------|---------------|----------------------------|
| A                                     | reduction ✓   | increase                   |
| <input checked="" type="checkbox"/> B | reduction ✓   | uncertain ✓                |
| C                                     | unchanged     | increase                   |
| D                                     | unchanged     | uncertain ✓                |

⇒ Depends, whether they are better off or not after 6 months service

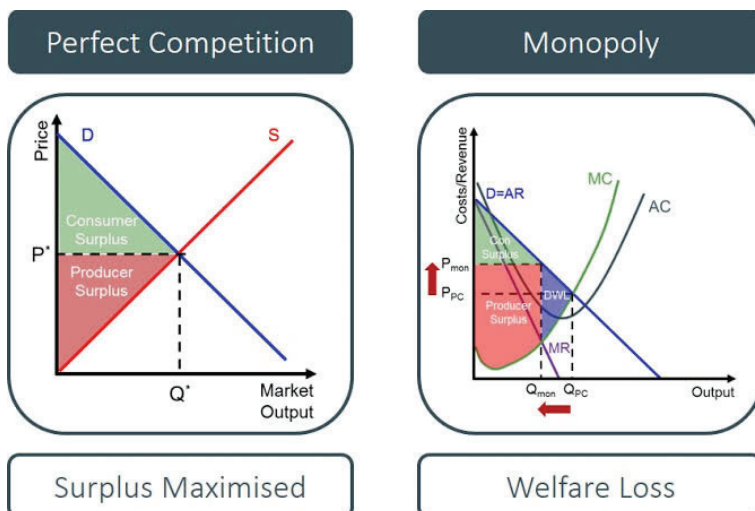
- 14 Between 2008 and 2009 a country's national income at current prices increased by 15%. At the same time the country experienced 5% inflation. *'115'*

Which index number most closely represents the country's national income in 2009 at 2008 prices (2008 = 100)?

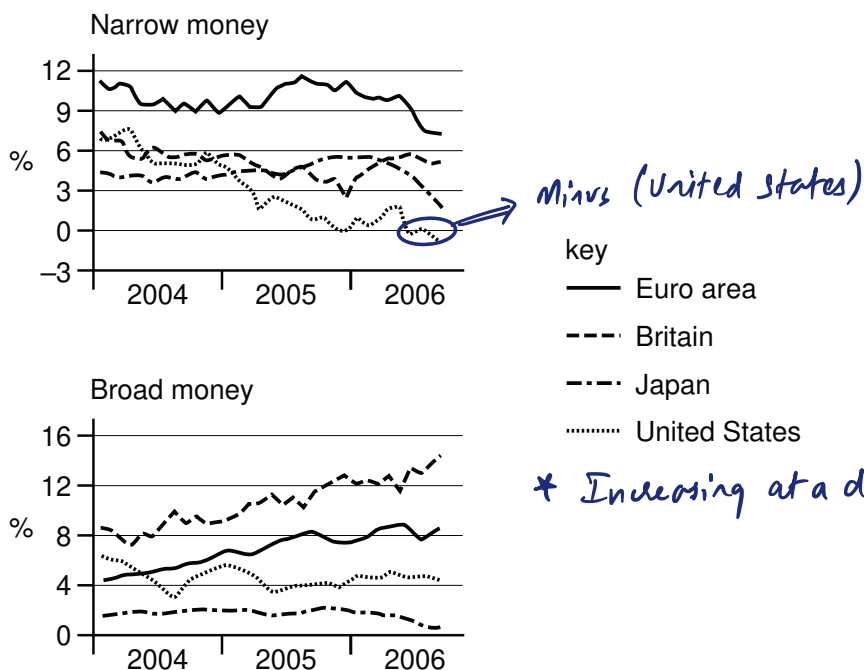
- A 103 ☒ B 110 C 115 D 120

$$115 - 5 \Rightarrow 110$$

MCQ '12'



- 15 The diagram shows changes in broad and narrow measures of money supply between 2004 and 2006.



Data in %, neither crossed '0'.

Which is the only area to have experienced a contraction in either of its measures of money supply?

- A Euro area
- B Britain
- C Japan
- ☒ D United States

Monetarism is a school of thought in monetary economics that emphasizes the role of governments in controlling the amount of money in circulation. Monetarist theory asserts that variations in the money supply have major influences on national output in the short run and on price levels over longer periods.

*Monetary policy / Money supply*

- 16 What is a central assertion of monetarist economics?

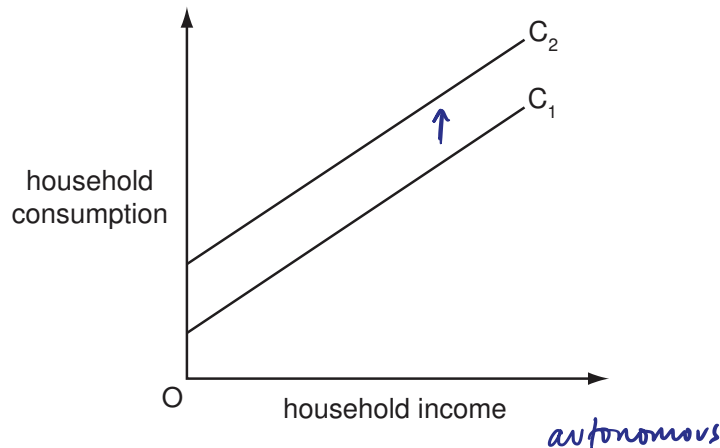
- A Fiscal policy should be used for the continuous management of the economy.
- B Major recessions can occur despite an unchanged money supply.
- ☒ C The money supply is the main determinant of aggregate monetary expenditure.
- D The velocity of circulation of money is unstable over time.

- Many monetarists also believe that markets are inherently stable in the absence of major unexpected fluctuations in the money supply.
- They also assert that government intervention can often destabilize the economy more than help it.
- Monetarists also believe that there is no long-run trade-off between inflation and unemployment because the economy settles at long-run equilibrium at a full employment level of output

|                             | Keynesian view                                                                  | Monetarist view                                           |
|-----------------------------|---------------------------------------------------------------------------------|-----------------------------------------------------------|
| <b>Fiscal policy</b>        | In recession, expansionary fiscal policy can stimulate economic activity        | Fiscal policy causes no long-term increase in real output |
| <b>Wage rigidity</b>        | Wages can be sticky downwards causing unemployment                              | In absence of min wages/ trade unions wages flexible.     |
| <b>Unemployment</b>         | Demand-deficient unemployment big causes                                        | Tend to emphasis supply-side unemployment (natural rate)  |
| <b>Phillips Curve</b>       | There is a trade off between unemployment and inflation                         | Only a trade-off in the short-term.                       |
| <b>Government borrowing</b> | In recession, governments should borrow more to offset fall in private spending | Government should seek to run balanced budget             |
| <b>Crowding out</b>         | No crowding out in recession                                                    | Government borrowing causes more crowding out             |

www.economicshelp.org

17 The diagram shows the relationship between household income and household consumption.



What would be likely to cause the household consumption curve to shift from  $C_1$  to  $C_2$ ?

- A a decrease in household income *X-axis, movement*
- B a decrease in the value of household assets
- C an increase in interest rates *save ↑, spend ↓, C ↓*
- ☒ D an increase in the expected future level of household income *[More dissaving]*

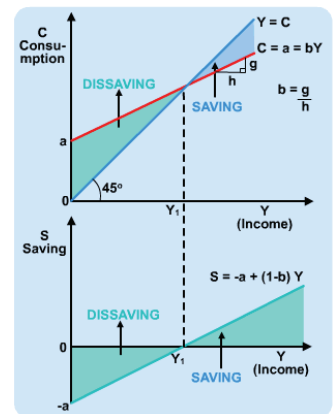
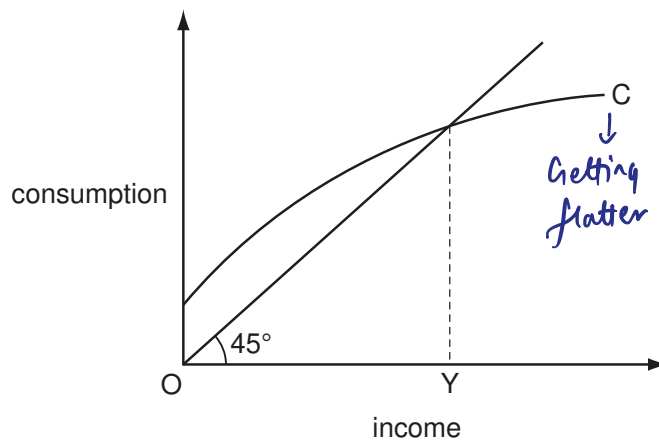
18 The diagram shows a consumption function for a closed economy with no government.

$$C = \hat{C} + cY$$

$$S = -\hat{C} + sY$$

$$c = MPC$$

$$s = MPS$$



What can be concluded from the diagram?

- ☒ A At income levels below OY, saving is negative. *(Dissaving)*
- B At income levels below OY, there is an inflationary gap. *no ( $Y_a > Y_f$ )*
- C The equilibrium level of income is OY. *(where  $AE=Y$ )*
- D The marginal propensity to consume increases as income increases.

$$MPC \downarrow \quad MPS \uparrow$$

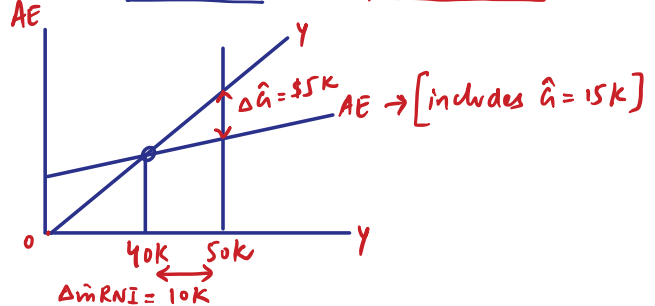
$$\text{Multiplier} = \frac{1}{s+t+m} = 2, \quad \frac{\Delta RNI}{\Delta AE} = 2, \quad \frac{10K}{x} = 2, \quad [x = \$5000] + \$15000 \Rightarrow \$20000$$

9 Deflationary gap

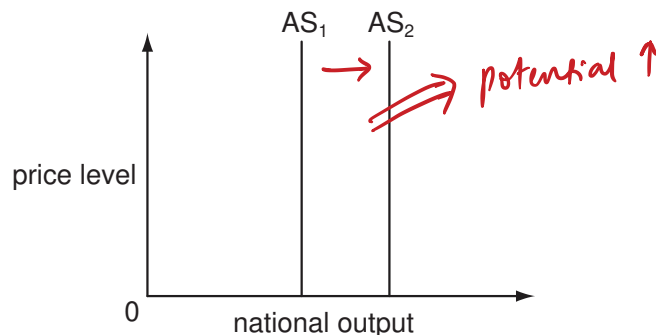
- 19 When national income equals \$40 000 million and government spending equals \$15 000 million, an economy is in equilibrium below full employment. Out of every increase of \$100 in national income, \$15 is taken in taxes, \$30 is spent on imports and \$5 is saved.

To raise national income to the full employment level of \$50 000 million, to which level will the government need to raise its own spending?

- A \$15 500 million
- ☒ B \$20 000 million
- C \$25 000 million
- D \$35 000 million



- 20 In the diagram  $AS_1$  is an economy's long-run aggregate supply curve.

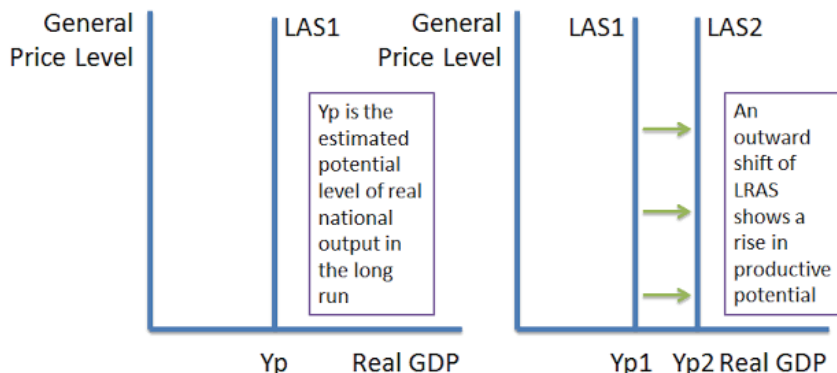


What will cause the aggregate supply curve to shift from  $AS_1$  to  $AS_2$ ?

- A an increase in consumer spending  $AD \uparrow$
- B an increase in inflation *It is caused by  $AD \uparrow$  or  $AS \downarrow$*
- ☒ C an increase in productivity, efficiency ↑, productive capacity ↑, potential ↑
- D an increase in net exports  $AD \uparrow$

### Long-Run Aggregate Supply (LRAS)

In the long run, the ability of an economy to produce goods and services to meet demand is based on the state of production technology and the availability and quality of factor inputs.



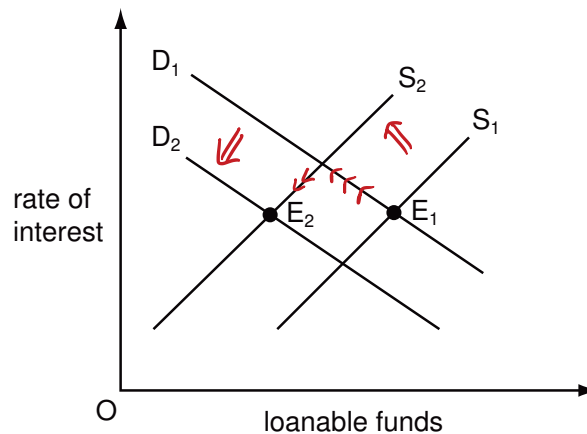
[Turn over

In economics, the loanable funds doctrine is a theory of the market interest rate. According to this approach, the interest rate is determined by the demand for and supply of loanable funds. The term loanable funds includes all forms of credit, such as loans, bonds, or savings deposits.

10

## 21 The diagram shows the demand curves and supply curves of loanable funds.

| Traditional Loanable Funds Theory                                                                            | Keynesian Loanable Funds Theory (Credit View)                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Money is neutral (i.e., no impact on level of output and employment)                                         | Money is not neutral (i.e., has an impact on level of output and employment)                                                                                                                       |
| Banks simply intermediate                                                                                    | Banks have an impact on real economy                                                                                                                                                               |
| Loans market is perfect and clears                                                                           | Loans market is imperfect / Excess demand for loans due to credit rationing                                                                                                                        |
| Government intervention not needed / Automatic stabilization / No need for fiscal or monetary policies       | Government intervention needed to stabilize aggregate demand and supply fluctuations / Contractionary monetary policy can lower loan supply, but expansionary monetary policy may not be effective |
| Information on risk profile of borrowers is unnecessary / No possibility of default or financial instability | Asymmetric information between lenders and borrowers / Risk of default and financial instability is possible                                                                                       |
| Banks intermediate between savers and investors / Savings fund investment                                    | Banks can (1) buy securities, (2) create credit, and (3) intermediate between savers and investors                                                                                                 |
| Interest rate determined by forces of supply of (desired) savings and demand for (desired) investment        | Loan rate depends on maximum expected return of banks, taking into account risk profile of borrowers and screening charges                                                                         |
| Loans offered via bid-auction process                                                                        | Loans offered based on risk profile of borrowers                                                                                                                                                   |
| Interest rate fluctuations are the key adjustment mechanism                                                  | Banks adjust size of loan portfolio rather than adjust loan rate                                                                                                                                   |



Which changes could cause the equilibrium in the market for loanable funds to move from  $E_1$  to  $E_2$ ?

- Supply ↓ Demand ↓*
- ☒ A a decrease in bank lending combined with a decrease in business confidence
- B a decrease in the money supply combined with an increase in the propensity to consume
- Supply ↑*
- C an increase in bank lending combined with an increase in the productivity of capital
- D an increase in the money supply combined with a decrease in the productivity of labour

## 22 If the money supply is fixed, a decrease in economic activity

- A increases interest rates. *md ↓, r ↓*
- B increases the transactions demand for money. *md ↓*
- C raises the liquidity preference schedule. *md ↑*
- ☒ D reduces the income velocity of circulation. *reduces*

Definition: Velocity of circulation is the amount of units of money circulated in the economy during a given period of time. Description: Velocity of circulation is measured by dividing GDP by the country's total money supply. A high velocity of circulation in a country indicates a high degree of inflation.

## 23 What could explain why the terms of trade of most developing economies tend to worsen over time?

- $\frac{x \text{ prices}}{m \text{ prices}} \times 100$*
- A Their currencies are over-valued in foreign exchange markets. *x prices ↑, TOT improves*
- B They impose lower barriers on imports than developed economies. *m prices ↓, TOT improves*
- C They produce a narrower range of goods than developed economies. *supply ↓, high prices*
- ☒ D They produce goods with a low income elasticity of demand.

*↳ inferior goods  
↳ low prices*

24 An economy is operating at its natural rate of unemployment.

According to monetarist theory, what will be the effect on unemployment in the short run and in the long run of an unanticipated increase in the money supply?

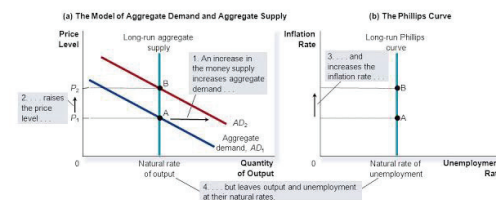
|                                       | short run   | long run    |
|---------------------------------------|-------------|-------------|
| A                                     | no change   | no change ✓ |
| B                                     | no change   | reduction   |
| <input checked="" type="checkbox"/> C | reduction ✓ | no change ✓ |
| D                                     | reduction ✓ | reduction   |

$MS \uparrow$  (Short run)  $\rightarrow$  Long run  
 $R \downarrow$   
 $C \uparrow$   
 $I \uparrow$   
 $AD \uparrow$   
 Unemployment  $\downarrow$   
 $\downarrow$   
 operating at  
 $Y_f$  (LRAS  
 diagram)  
 $\downarrow$   
 No change in  
 unemployment

25 The diagram shows the relationship between the rate of increase in wages and the rate of unemployment.



MCQ '24'



What would be likely to cause the curve in the diagram to shift downwards and to the left?

- ☒ A a reduction in regional differences in unemployment rates (mobility of workers  $\uparrow$ )
- B an increase in the proportion of the workforce belonging to trade unions wages  $\uparrow$  Un  $\uparrow$
- C an increase in the unemployment rate (movement)
- D the expectation of a higher rate of inflation (Rightward shift)

26 Which policy is most likely to reduce a balance of payments deficit without causing inflation?

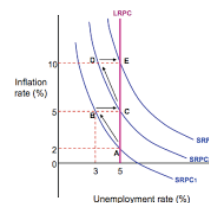
- A a devaluation of the exchange rate,  $AD \uparrow$ , prices  $\uparrow$ , Marshall learner, J curve
- B an increase in import tariffs,  $AD \uparrow$ , prices  $\uparrow$  (Expenditure switching policy)
- C an increase in indirect taxes,  $AS \downarrow$ , prices  $\uparrow$
- ☒ D an increase in direct taxes

Direct tax  $\uparrow$ , disposable income  $\downarrow$ ,  $C \downarrow$ ,  $M(TE) \downarrow$ , BOP surplus

$\downarrow$   
 $AD \downarrow$   
 Price stability

27 Which is most likely to result in an increase in the natural rate of unemployment?

- A a decrease in government expenditure on goods and services *AD factor (movement)*
- B a decrease in the level of government payments to the unemployed *AD factor (movement)*
- ☒ C an increase in trade union membership *(AS factor, shift)*
- D an increase in interest rates *AD factor (movement)*



28 An economy has underemployed resources.

*wage price spiral*

Which method of financing an increase in government expenditure is likely to have the greatest expansionary effect?

- ☒ A borrowing from the central bank *(Monetary) (Purchase of Bonds)*
- B borrowing from the non-bank private sector *(M<sup>s</sup> unchanged)*
- C increased direct taxation *C ↓ AD ↓*
- D increased indirect taxation *AS ↓, prices ↑, AD ↓*

29 What will be the impact of an increase in marginal tax rates?

- A an increase in the propensity to save *MPS ↓ decrease*
- B an increase in the value of the investment multiplier
- C a strengthening of work incentives *disincentive*
- ☒ D a strengthening in the operation of automatic stabilisers

In macroeconomics, automatic stabilizers are features of the structure of modern government budgets, particularly income taxes and welfare spending, that act to dampen fluctuations in real GDP.

The best-known automatic stabilizers are corporate and personal taxes, and transfer systems such as unemployment insurance and welfare. Automatic stabilizers are so called because they act to stabilize economic cycles and are automatically triggered without explicit government action.

30 Which is a correct statement about efficiency?

- A Allocative efficiency occurs when marginal revenue equals marginal cost. *MC = price*
- Yes* ☒ B An economy is productively efficient when it is producing at a point on its production possibility curve.
- C An economy will improve its allocative efficiency when its production possibility curve moves outward. *No*
- D Productive efficiency occurs when the prices of goods equal their marginal cost of production. *that's allocative*

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